

IN THE HIGH COURT FOR THE STATE OF TELANGANA
AT HYDERABAD

THE HON'BLE SRI JUSTICE NAGESH BHEEMAPAKA

CONTEMPT CASE No. 2185 of 2025

AND

Review I.A. No. 2 of 2025

In

WRIT PETITION No. 3009 of 2018

17th July, 2026

Contempt Case No. 2185 of 2025

Between:

V. Nagarjuna, S/o Yakaiah

... Petitioner

AND

Sri M. Raghunandan Rao, IAS, and others

... Respondents

Review I.A. No. 2 of 2025

The State of Telangana, rep. by its Principal Secretary
Agriculture and Cooperation Department, and another

... Petitioners

AND

V. Nagarjuna, S/o Yakaiah, and another

... Respondents

COMMON ORDER:

The petitioner, V. Nagarjuna, was working as an Assistant Market Supervisor in the Agricultural Market Committee, Thorrur, in the year 2012, when a complaint was received against him alleging that he had stopped certain lorries at the Pedda Nagaram check-post and forcibly collected money from them. Based on the complaint, FIR No. 177 of 2012 was registered at Thorrur Police Station for the offence punishable under Section 384 IPC. After investigation, the police filed a charge sheet before the Judicial Magistrate of First Class, Thorrur, and the same was taken on file as C.C. No. 568 of 2012. During the pendency of the criminal case, the petitioner was placed under suspension vide proceedings dated 25.09.2012. After a full-fledged trial, the learned Magistrate acquitted the petitioner vide judgment dated 21.03.2013, and he was reinstated into service on 15.04.2013. However, during the period of suspension, his junior (respondent No. 3) was promoted as Supervisor. Since the petitioner was not promoted on par with his junior despite his acquittal in the criminal case, he filed W.P. No. 3009 of 2018 before this Court.

1.1. By order dated 02.01.2025, this Court disposed of the writ petition by directing the respondent-authorities to consider the case of the petitioner for promotion as Assistant Secretary on par with his junior, with all consequential benefits, by restoring his seniority position, within a period of eight weeks from the date of receipt of the order.

1.2. Alleging that the respondent-authorities had not complied with the order dated 02.01.2025 passed by this Court in the writ petition, the petitioner filed Contempt Case No. 2185 of 2025. Seeking review of the said order, the respondent-authorities filed Review I.A. No. 2 of 2025.

2. Heard Mr. Pratap Narayan Sanghi, learned Senior Counsel representing Ms. Mantha Lakshmi Anusha, learned counsel on record for

the petitioner, and the learned Government Pleader for Services-III. Perused the record.

3. Learned Senior Counsel for the petitioner submits that, subsequent to the acquittal of the petitioner, he was granted notional promotion as Supervisor with effect from 14.12.2012 on par with respondent No. 3 (Mr. Mohd. Lawshareef) vide proceedings dated 27.11.2025. It is contended that the respondent-authorities have complied with the orders of this Court only partially, as subsequent notional promotions have not been granted to the petitioner. It is further contended that once the petitioner has been granted notional promotion, he becomes fully eligible for the next promotion, in terms of the order of this Court, on par with his junior. It is submitted that respondent No. 3 was thereafter promoted as Assistant Secretary with effect from 20.12.2021 and later as Secretary with effect from 09.06.2023, whereas the petitioner was not considered for promotion as Assistant Secretary with effect from 20.12.2021, thereby violating the orders of this Court.

4. Learned Government Pleader for Services-III, based on the counter affidavit filed by the Director of Agricultural Marketing, contends that the petitioner was placed under suspension on three occasions, namely:

(i) from 25.09.2012 to 15.04.2013 due to registration of a criminal case;

(ii) from 30.01.2018 to 01.04.2019 on account of financial irregularities involving the crediting of public funds amounting to Rs.1,75,889 into the petitioner's personal account; and

(iii) from 28.04.2023 to 27.06.2024 due to allegations of physical assault, abuse, use of unparliamentary language against a superior officer Mr. S. Niranjan, the former Secretary of

Agricultural Market Committee, thereby creating nuisance, which constituted violation of Rules 3(1), 3(2), and 3(3) of the Civil Services (Conduct) Rules, 1964.

4.1. Learned Government Pleader further submits that, seeking regularisation of the suspension periods, the petitioner submitted a representation dated 11.11.2024 and thereafter filed W.P. No. 35956 of 2024 before this Court. By order dated 23.12.2024, this Court disposed of the writ petition, without entering into the merits of the matter, by directing the second respondent-Commissioner to pass appropriate orders on the representation dated 11.11.2024.

4.2. It is contended that, based on the report of the Enquiry Officer, the Chairman, AMC, Jangaon, proposed the punishment of “*Stoppage of two annual grade increments with cumulative effect*” and forwarded the proposal to the Vigilance Commission for concurrence.

4.3. It is further contended that one Mrs. O. Uma Maheshwari, Security Guard in the Office of the Agricultural Market Committee, Jangaon, lodged a complaint before the District Collector, Jangaon, on 28.03.2025 alleging that the petitioner had misbehaved with her. The District Collector, Jangaon, vide letter dated 29.04.2025, directed that the services of the petitioner be surrendered to the Director of Agricultural Marketing, Government of Telangana, pursuant to which the petitioner reported before the Office of the Director of Agricultural Marketing, Hyderabad, on 01.05.2025.

4.4. It is contended that disciplinary proceedings are being initiated against the petitioner under the Telangana State Civil Services (Conduct)

Rules, 1964, as well as under the provisions of The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

4.5. Learned Government Pleader submits that the first suspension period, from 25.09.2012 to 15.04.2013, was regularised after the petitioner's acquittal in the criminal case. However, the disciplinary proceedings relating to the other two suspension periods are still pending, and an appropriate decision on regularisation of those suspension periods will be taken in accordance with law based on the outcome of the disciplinary proceedings. It is, therefore, contended that the question of granting notional promotion on par with the petitioner's junior would arise only thereafter and not before.

4.6. Learned Government Pleader refers to paragraph (e) under the grounds of the Review Application, wherein it is stated as follows:

“e. The Writ petitioner is not eligible for promotion as Asst. Secretary as his suspension period from 30.01.2018 to 01.04.2019 (14 months & 2 days) and 28.04.2023 to 27.06.2024 (13 months & 29 days) is not regularized. After conclusion of the Disciplinary cases pending against him and suspension period regularization of the petitioner i.e., Sri V. Nagarjun, Supervisor i.e., from 30.01.2018 to 01.04.2019 (14 months & 2 days) and 28.04.2023 to 27.06.2024 (13 months & 29 days) will be examined as per rules and considered for promotion as Assistant Secretary as per the orders of the Hon’ble High Court Dt. 02.01.2025 in W.P. No. 3009/2018.”

4.7. Learned Government Pleader refers to the Proceedings dated 27.11.2025 wherein the petitioner was notionally promoted as Supervisor with effect from 14.12.2012 on par with his junior (respondent No.3).

5. A reply affidavit has been filed by the petitioner in response to the counter affidavit, essentially contending that the petitioner was under

suspension from 30.01.2018 to 01.04.2019 on allegations of misappropriating an amount of Rs.1,75,889 and creating a fake WhatsApp group. It is contended that an enquiry into the said allegations was conducted after a lapse of three years on 22.03.2021 and concluded on 05.07.2022; however, the enquiry report was not communicated to the petitioner, nor has any punishment been imposed till date. With regard to the suspension period from 28.04.2023 to 27.06.2024, it is contended that the matter is pending before the Court and that the Court has directed the respondent-authorities to treat the suspension period as "on duty". Though punishment has been proposed, the same has not yet been imposed. It is further contended that the mere pendency of disciplinary proceedings cannot be a ground to withhold promotion once the petitioner falls within the zone of consideration and that the petitioner's name was excluded from the promotion panel solely on account of the pending disciplinary proceedings.

6. Having considered the respective submissions and perused the record, it is evident that the petitioner has been granted notional promotion as Supervisor with effect from 14.12.2012 on par with respondent No. 3 (Mr. Mohd. Lawshareef) vide proceedings dated 27.11.2025. However, it is equally borne out from the record that the petitioner was subsequently placed under suspension from 30.01.2018 to 01.04.2019 on allegations of financial irregularities/misappropriation of public funds to the tune of Rs.1,75,889. He was again suspended from 28.04.2023 to 27.06.2024 on allegations of physical assault, abuse, use of unparliamentary language on a superior officer, Mr. S. Niranjan, former Secretary, and creating nuisance, thereby violating Rules 3(1), 3(2), and 3(3) of the Civil Services (Conduct) Rules, 1964. Disciplinary proceedings in respect of both these suspension periods are pending. It is the stand of the respondent-authorities that, in one of the disciplinary proceedings relating to misappropriation of funds, a

punishment of stoppage of increments has been proposed and the proposal has been forwarded to the Vigilance Commission for concurrence, while in the other disciplinary proceedings, the departmental enquiry is still in progress. It is also the stand of the respondents that respondent No. 3, Mr. Lawshareef, was subsequently promoted as Assistant Secretary and thereafter as Secretary on his own merit, and the petitioner cannot claim parity merely because his junior was promoted.

7. In the above backdrop, the point that arises for consideration is – ***“whether the pendency of disciplinary/departmental proceedings against the petitioner constitutes a valid ground for denial or deferment of promotion?”***

8. In this regard, it would be relevant to refer to the judgment of the Hon'ble Division Bench of this Court in **N. Srinivasulu v. The State of Telangana**¹, wherein the Division Bench referred to the judgment of the Hon'ble Supreme Court in **C.O. Arumugam vs. State of Tamil Nadu**², wherein it was held in paragraph 5 as follows:

"5. As to the merits of the matter, it is necessary to state that every civil servants has a right to have his case considered for promotion according to his turn and it is a guarantee flowing from Articles 14 and 16(1) of the Constitution. The consideration of promotion could be postponed only on reasonable grounds. To avoid arbitrariness, it would be better to follow certain uniform principles. The promotion of persons against whom charge has been filed in criminal case may be deferred till the proceedings are concluded. They must, however, be considered for promotion if they are exonerated or acquitted from the charges. If found suitable, they shall then be given the promotion with retrospective effect from the date on which their juniors were promoted."

¹2021 SCC OnLine TS 3528

² 1991 Supp (2) SCC 199

9. The Hon'ble Division Bench also referred to the judgment of the Hon'ble Supreme Court in **Union of India vs. K.V. Jankiraman**³, wherein the Supreme Court dealt with cases of employees facing departmental enquiries and criminal proceedings. The Hon'ble Supreme Court, in paragraphs 16 and 17 of **K.V. Jankiraman** (supra), held that the **sealed cover procedure has to be adopted in respect of an employee against whom a charge memorandum has been issued in disciplinary proceedings or a charge sheet has been filed in criminal proceedings.** The Hon'ble Supreme Court further held that "mere pendency of preliminary investigation prior to that stage will not be sufficient to enable the authorities to adopt the sealed cover procedure."

9.1. The Hon'ble Supreme Court further observed that "as has been the experience so far, the preliminary investigations take an inordinately long time and may never culminate in the issuance of a charge memorandum or charge sheet". The Hon'ble Supreme Court also held that **"if the allegations are serious, the authorities have the power to suspend the employee under the relevant rules, and such suspension itself permits resort to the sealed cover procedure."**

10. It is also relevant to refer to the judgment of the Hon'ble Supreme Court in **Bank of India v. Degala Suryanarayana**⁴.

"14. However, the matter as to promotion stands on a different footing and the judgments of the High Court have to be sustained. The sealed cover procedure is now a well-established concept in service jurisprudence. The procedure is adopted when an employee

³1991 (4) SCC 109

⁴ (1999) 5 SCC 762

is due for promotion, increment, etc., but disciplinary/criminal proceedings are pending against him and hence the findings as to his entitlement to the service benefit of promotion, increment etc. are kept in a sealed cover to be opened after the proceedings in question are over [see: Union of India v. K.V.Jankiraman, AIR 1991 SC 2010 at p.2013]. As on 1-1-1986 the only proceedings pending against the respondent were the criminal proceedings which ended in acquittal of the respondent wiping out with retrospective effect the adverse consequences, if any, flowing from the pendency thereof. The departmental enquiry proceedings were initiated with the delivery of the charge-sheet on 3-12-1991. In the year 1986-87 when the respondent became due for promotion and when the Promotion Committee held its proceedings, there were no departmental enquiry proceedings pending against the respondent. The sealed cover procedure could not have been resorted to nor could the promotion in the year 1986-87 be withheld for the DE proceedings initiated at the far end of the year 1991. The High Court was therefore right in directing the promotion to be given effect to to which the respondent was found entitled as on 1-1-1986. In the facts and circumstances of the case, the order of punishment made in the year 1995 cannot deprive the respondent of the benefit of the promotion earned on 1-1-1986.”

11. In the instant case, it is evident that the petitioner was granted notional promotion as Supervisor on par with his junior, Mr. Lawshareef (respondent No. 3), with effect from 14.12.2012. However, the petitioner was subsequently placed under suspension from 30.01.2018 to 01.04.2019 on charges of misappropriation of public funds to the tune of Rs.1,75,889, in respect of which the punishment of **“Stoppage of two annual grade increments”** has been proposed and the proposal is pending before the Vigilance Commission for concurrence. Thereafter, in another case involving allegations of abuse, assault, use of unparliamentary language,

and creating nuisance in the office, the petitioner was placed under suspension from 28.04.2023 to 27.06.2024, and the disciplinary proceedings in relation thereto are still pending.

12. Therefore, merely because this Court directed the grant of notional promotion as Supervisor on par with respondent No. 3 cannot be construed as a blanket direction to perennially continue granting all future promotions on par with the junior irrespective of disciplinary proceedings. The notional promotion as Supervisor was granted solely on account of the petitioner's acquittal in C.C. No. 568 of 2012 by judgment dated 21.03.2013.

13. Therefore, in the light of the law settled by the Hon'ble Supreme Court in K. Jankiraman(supra), and Degala Suryanarayana (supra), it is to be noted that, once an employee is suspended, either due to disciplinary proceedings or criminal case, prior to considering his candidature for promotion, then his candidature has to be considered under a Sealed Cover procedure. If he is exonerated in the departmental proceedings/acquitted in the criminal case by the trial Court, then he should be granted notional promotion from such prior date when his junior was promoted. In such case, he would be entitled to only notional benefits and not actual monetary benefits as he has not shouldered / discharged higher responsibilities pertaining to such higher/promotion post; and he would be entitled to actual monetary benefits only from the date he starts discharging responsibilities of higher post. In case he found guilty of the charges against him in the departmental proceedings / criminal case, then the authorities can proceed against him in accordance with the relevant Service Rules.

14. Therefore, at the time of constituting the Departmental Promotion Committee for considering candidature of an employee for promotion for a particular Panel Year, if there are no pending disciplinary proceedings /

criminal case against that employee for that particular Panel Year, then the candidature of that employee has to be considered outright without resorting to Sealed Cover procedure. However, if there are pending cases against an employee already by the date of DPC for a particular Panel Year, then he should be considered under a Sealed Cover procedure for that particular Panel Year. Therefore, in either of the situations, consideration of candidature of the employee is inevitable, except for the manner of consideration. If the employee is found NOT guilty in the disciplinary enquiry/criminal case, then all benefits, notionally, have to be given to him from such date when his junior was promoted to the post/grade.

15. Therefore, considering **K.V. Jankiraman(supra)**, and **Degala Suryanarayana (supra)**, in the instant case also, if a charge memo has already been issued to the petitioner (in connection with misappropriation of funds or for the alleged abuse/assault of superior officer) by the date the Departmental Promotion Committee is constituted for considering promotions for Assistant Secretary, or Secretary, as the case may be, for a particular Panel Year, then the candidature of the petitioner has to be considered for promotion to the post of Assistant Secretary, or Secretary, as the case may be, by following the Sealed Cover procedure. The sealed cover has to be opened after conclusion of such disciplinary proceedings. If the petitioner is exonerated in the disciplinary proceedings, then he can be granted notional promotion from the date his junior was promoted to that particular grade/post. The disciplinary proceedings that occurred subsequently, cannot deprive the petitioner for consideration of promotion to a post for a previous Panel Year.

15.1. It is also to be noted that the petitioner would be entitled to only notional benefits like notional pay fixation, notional increment etc.

from such retrospective date, and he cannot claim actual monetary benefits from that retrospective date, despite exoneration in disciplinary proceedings, as he has not discharged the higher responsibilities related to that higher post. The petitioner shall however be entitled to actual monetary benefits from the date he assumes charge of the higher post and discharges its responsibilities.

15.2. On the other hand, if the petitioner is found guilty in the disciplinary proceedings, then he cannot even claim notional promotion, as he is required to be dealt with Service Rules governing such situation.

16. Accordingly, the Review I.A. No. 2 of 2025 stands disposed of with the above directions. The contempt case is closed. There shall be no order as to costs. Miscellaneous petitions, if any, pending shall also stand closed.

JUSTICE NAGESH BHEEMAPAKA

17th July, 2026

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